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Daniel Shaffer v. L.A. Care Health Plan; et al.

Thursday,

September 17, 2026

[TENTATIVE] ORDER OVERRULING DEMURRER BY DEFENDANT, L.A. CARE HEALTH PLAN, TO PLAINTIFF'S COMPLAINT (4329)

I.

BACKGROUND

The

complaint alleges that Defendants failed to timely authorize and arrange for medically necessary orthopedic trauma care suffered by Plaintiff after an off-road accident. Plaintiff alleges claims for breach of the implied duty of good faith and fair dealing, violation of Civil Code § 3428 and negligence.

Defendant,

Local Initiative Health Authority, dba L.A. Care Health Plan, ("LA Care") demurs to the first and second causes of action for breach of the implied duty of good faith and fair dealing and violation of Civil Code § 3428, respectively.

II. LEGAL STANDARDS

A demurrer tests the sufficiency of a

complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the

complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The court may not consider contentions, deductions, or conclusions of fact or law. (*Moore v. Conliffe* (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (*Rakestraw v. California Physicians Service* (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ. Proc., § 430.10(e); (*Zelig v. County of Los Angeles* (2002) 27 Cal.4th 1112, 1126.)

Sufficient facts are the essential facts of the case stated "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (*Gressley v. Williams* (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 609–610.)

A demurrer may be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing, vague, or ambiguous that they do not sufficiently apprise a defendant of the issues it is being asked to meet. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

III.

DISCUSSION

A.

First cause of action for breach of the implied duty of good faith and fair dealing

Defendant

argues that Plaintiff did not allege facts showing how LA Care failed to monitor its delegates, among other details.

The

implied covenant of good faith and fair dealing requires facts showing benefits are due pursuant to an express contract. (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 36.) Two elements are required to sustain an action for breach of the covenant: "(1)

benefits due under the policy must have been withheld; and (2) the reason for withholding benefits must have been unreasonable or without proper cause."

(Love v. Fire Ins. Exchange (1990) 221

Cal.App.3d 1136, 1151.)

Plaintiff

alleges LA Care provides health care coverage to California residents, including Plaintiff. (Complaint, ¶ 3.) LA Care contracted with Defendant, Health Care LA, IPA ("HCLA") to arrange for, authorize and provide medical care to plan members, including Plaintiff. (Complaint, ¶ 6.) Plaintiff was receiving health insurance through an LA Care health plan. (Complaint, ¶ 8.) Plaintiff was assigned to HCLA which was responsible for maintaining a network of medical providers for authorizing and arranging medically necessary treatment. (Complaint, ¶ 8.) LA Care delegated functions to HCLA including the authorization of treatment, arrangement of care and referral to specialists. Plaintiff was an intended beneficiary of the agreement between LA Care and HCLA. (Complaint, ¶9.)

Plaintiff

adequately alleges that he was an insured under a health plan issued by LA Care. (Complaint, ¶ 31.) Therefore, Plaintiff has alleged an underlying contract existed providing benefits to Plaintiff by LA Care. The covenant is implied in that contract and requires LA Care to act reasonably in providing benefits thereby permitting tort damage. (Love at 1151.)

LA

Care allegedly breached that duty by failing to timely authorize care, failing to facilitate transfers to a higher level of care, and interfering with medically necessary treatment which were functions it delegated to HCLA. (Complaint, ¶¶ 31.a) through d).) These allegations are not conclusory.

LA

Care does not cite authority that requires Plaintiff to allege facts "specifying or illustrating how Health Authority failed to monitor its delegate."

(Dem. 10:14-15.) Defendant cites Cherewick v. State Farm Fire and Casualty (S.D. Cal. 2022) 578 F.Supp.3d 1136, which does not govern pleading standards. There, the federal

Court denied the motion to dismiss. (Id.) Cherewick cites other

cases that affirm the general consensus that the two elements to support a bad faith claim are that Defendant withheld benefits due under the policy and the reason for withholding benefits was unreasonable or without proper cause. (Id.

at 1172.) On summary judgment, the plaintiff was required to establish both that defendant breached the contract by unreasonably withholding benefits. Cherewick is inapposite for purposes of the demurrer.

Plaintiff

has alleged that the denial of benefits was unreasonable or without proper cause. The ultimate test for bad faith liability is the objectively unreasonable conduct regardless of the actor's motive. (*Bosetti v. United States Life Ins. Co. in City of New York* (2009) 175 Cal.App.4th 1208, 1236.) Plaintiff alleges that Defendant failed three times to authorize care alleged which Defendant was allegedly required to provide. (Complaint, ¶ 18-20.) After a delay of 21 days, Plaintiff was transferred back to Cedars-Sinai Hospital where he underwent surgeries. (Complaint, ¶ 26.) These facts are sufficient to support unreasonable conduct.

Defendant

does not cite authority for the requirement that Plaintiff allege facts establishing the content or specific terms or benefits of that coverage. Defendant contends that without these facts, "it is impossible to ascertain if any defendant failed or refused to discharge a contractual obligation because the reader has no way of knowing what that defendant promised to do under the terms of coverage." (Dem 13:26-28.)

It

is not impossible for Defendant to ascertain facts because (A) Defendant can conduct discovery, and (B) the contractual obligation that LA Care failed to discharge was the alleged duty to authorize treatment, arrange for care, and refer Plaintiff to specialists. (Complaint, 3:26.) Plaintiff alleges that this was a non-delegable duty. (Complaint, ¶ 9.)

B.

Second cause of action for violation of Civil Code Section 3428.

Civil

Code section 3428 imposes on a health plan "a duty of ordinary care to arrange for the provision of medically necessary health care service to its subscribers and enrollees, where the health care service is a benefit provided under the plan, and shall be liable for any and all harm legally caused by its failure to exercise that ordinary care." (Civ. Code, § 3428.) The duty is imposed if "(1) The failure to

exercise ordinary care resulted in the denial, delay, or modification of the health care service recommended for, or furnished to, a subscriber or enrollee [and] (2) The subscriber or enrollee suffered substantial harm." (Civ. Code, § 3428 (a).)

Defendant

contends Plaintiff is required to allege facts that the treatment was medically necessary, not just that it was required. Defendant argues that Plaintiff assumes the surgery was medically necessary without pleading facts. Plaintiff did not allege facts to show that surgery was a covered benefit. Defendant contends it might not have been covered and argues "there is no way of knowing at this stage because Plaintiff's Complaint is completely silent on whether the treatment he sought was covered by his membership in Health Authority's health plan." (Dem 15:12-14.)

This

is not an impossible task as previously noted. Additionally, Plaintiff is not required to allege the facts to prove that the surgery was medically necessary.

A demurrer tests

the legal sufficiency of the allegations. It does not test their truth, the Plaintiff's ability to prove them, or the possible difficulty in making such proof. (Saunders v.

Superior Court (1994) 27 Cal.App.4th 832, 840). Plaintiff is not required to allege evidentiary facts. (Careau & Co. v. Security Pacific Business Credit, Inc. (1990)

222 Cal.App.3d 1371, 1390 ["It is both

improper and insufficient for a plaintiff to simply plead the evidence by which he hopes to prove such ultimate facts."].)

Defendant cites Hughes v.

Blue Cross of Northern California (1989) 215 Cal.App.3d 832 for the proposition that "medical necessity" is informed by community standards. This is irrelevant at this point in the proceedings, because Plaintiff does not have to prove medical necessity. He need only allege it.

Plaintiff alleges he sustained

a fractured tibia, multiple foot fractures, and associated soft-tissue injuries. The fractures required immediate surgical fixation to avoid long-term complications and permanent disability. (Complaint, ¶ 15.) The alleged facts are sufficient to support that the surgery was medically necessary. Defendant allegedly failed to provide the necessary letters of authorization delaying treatment for 16 days. (Complaint, ¶ 20, 22) Defendants allegedly caused

further delays because Plaintiff was required to be transferred to other medical facilities to fall within the health plan's parameters. (Complaint, ¶¶ 24-25.) These allegations are sufficient.

IV. CONCLUSION

Based on the foregoing, the demurrer is
OVERRULED. Defendant is ordered to file its answer within 10 days.